



Our ref: IM-72666

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4 September 2024

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Dear Interested Party

Re: ACCC seeking your views: Accolade Wine's proposed acquisition of Pernod Ricard's Wine Business

The Australian Competition and Consumer Commission (**ACCC**) is seeking your views on Australian Wine HoldCo Limited's (**AWHL**) proposed acquisition, through its indirectly held subsidiary Accolade Wines Australia Limited (**Accolade**), of the Australian wine businesses of Pernod Ricard SA (**Pernod Ricard**) which are currently operated by Pernod Ricard Winemakers Pty Ltd (**PRW**) (the **Proposed Acquisition**).

Accolade and PRW both produce and sell wine in Australia. Accolade's key brands include Berri Estates, Grant Burge, Petaluma, Hardys and St Hallett. With the acquisition, Accolade would acquire a portfolio of wine brands including Jacob's Creek, St Hugo, Church Road, Stoneleigh and Campo Viejo. More information about the Proposed Acquisition can be found at **Attachment A**.

The ACCC's investigation will focus on the impact of competition. In particular, we are seeking your views on:

- the likely impact on prices and/or quality in markets for the wholesale supply of wine,
- the likely impact on prices paid in acquisition markets for wine grapes and/or bulk wine, and
- whether the proposed acquisition would give Accolade the ability and incentive to foreclose rival winemakers access to processing, bottling and/or packaging services impacting competition in the supply of wine.

Further issues you may wish to address are set out in **Attachment B**.

This matter is public and you can forward this letter to anybody who may be interested.

The legal test which the ACCC applies in considering the Proposed Acquisition is in section 50 of the *Competition and Consumer Act 2010*. Section 50 prohibits acquisitions that are likely to have the effect of substantially lessening competition in a market.

Please provide your response by **18 September 2024** via email with the title: *Submission re: Accolade/Pernod Ricard*. If you require more time to respond, please let us know.

If you would like to arrange a time to discuss the matter with ACCC officers, or have any questions about this letter, please contact mergers@accc.gov.au.

Updates regarding the ACCC's investigation will be available on the ACCC's Public Mergers Register at ([ACCC mergers register](#)).

Confidentiality of submissions

The ACCC treats sensitive information it receives during a merger review as confidential, and will not publish your submission. We will not disclose submissions to third parties (except our advisors/consultants) unless compelled by law (for example, under freedom of information legislation or during court proceedings) or in accordance with s155AAA of the Competition and Consumer Act 2010. Where the ACCC is required to disclose confidential information, we will notify you in advance where possible so that you have an opportunity to be heard. Therefore please clearly indicate if any information you provide is confidential.

Our [Informal Merger Review Process Guidelines](#) contain more information on confidentiality.

Yours sincerely

A handwritten signature in blue ink, appearing to read 'Morag Bond', is positioned above the printed name.

Morag Bond
General Manager
Merger Investigations Branch

Attachment A – Overview of the merger parties and the Proposed Acquisition

The Proposed Acquisition

AWHL, through its indirectly held subsidiary Accolade (and other members of the group), proposes to acquire the 'BrandCo' component of Pernod Ricard's wine businesses in Australia, New Zealand, and Spain (together, the **BrandCo Businesses**) through the acquisition of:

- certain assets from PRW and Pernod Ricard Winemakers New Zealand Limited (**PRW NZ**) pursuant to a business and asset sale agreement; and
- the shares in Pernod Ricard Wines Spain from Pernod Ricard Espana SA pursuant to a share sale agreement.

The BrandCo Businesses own and manage a portfolio of internationally recognised Australian, New Zealand and Spanish wines including Jacob's Creek, St Hugo, Church Road, Stoneleigh and Campo Viejo.

Pernod Ricard's (and its subsidiaries') spirits, champagne, 'Ready-to-Drink' products and PRW's Sparkling wine product, Mumm Tasmania (along with PRW NZ's Mumm Marlborough and Mumm Central Otago) are excluded from the Proposed Acquisition.

Accolade

Accolade is an Australian wine business with headquarters in South Australia. It is an indirect subsidiary of AWHL, which is an entity owned by a consortium of institutional investors.

Accolade acquires wine grapes and produces and supplies wine. Its activities include processing, bottling, packaging sales, marketing and distribution. Accolade primarily focuses on producing and supplying what it describes as commercial and masstige wines, which it classes as wines that typically retail for less than 20 Australian Dollars. Accolade's key brands include Berri Estates, Grant Burge, Petaluma, Hardys and St Hallett.

Pernod Ricard

Pernod Ricard is an international wine and spirits producer and wholesaler. Through its subsidiaries including PRW, it offers wine brands including Campo Viejo, Stoneleigh and Jacob's Creek.

In Australia, PRW produces and acquires wine grapes, and sells and produces wine. In addition to its winemaking business, PRW also markets, distributes and sells Pernod Ricard's (and its subsidiaries) champagne, spirits and 'Ready-to-Drink' products in Australia, although these are not part of the Proposed Acquisition.

Attachment B – List of questions

The ACCC seeks your views on the questions in this attachment. The more information we have, the better we can assess the impact of the Proposed Acquisition. However, if you are unsure of any questions, or do not have specific knowledge about some of the questions, you can leave them blank. You can also include any other information you think is relevant.

Where possible, provide specific examples to support your views.

Overview of interest in Proposed Acquisition

1. Please provide a brief description of your business or organisation.
2. Outline the reasons for your interest in the Proposed Acquisition, including any commercial relationship/s with Accolade and/or Pernod Ricard. If applicable, please identify the specific product(s) and/or service(s) that you supply to, acquire from, or compete with Accolade and/or Pernod Ricard to provide.

Relevant markets

3. The ACCC is currently considering the likely competitive effects of the Proposed Acquisition in potential markets for:
 - the acquisition of warm climate wine grapes (with a particular focus on the Riverland, Murray Valley, and Riverina regions),
 - the acquisition of cool climate wine grapes (with a particular focus on the Adelaide Hills, Barossa Valley, Coonawarra, Eden Valley, Langhorne Creek, Padthaway and Wattonbully regions),
 - the supply of wine processing services to winemakers in South-Eastern Australia,
 - the supply of wine bottling and packaging services to winemakers in Australia, and
 - the wholesale supply of wine to various customers including wine retailers.

The ACCC seeks your views on whether the above markets, including the geographic boundaries set out above, would help identify any competition concerns that may arise from the Proposed Acquisition.

Questions for wine grape growers

4. On what basis do grape growers compete with one another to sell their grapes to winemakers?

5. The parties submit that the following areas are relevant to the Proposed Acquisition:

- for 'warm climate' grapes: the Riverland, Murray Valley and Riverina regions combined, and
- for 'cool climate' grapes: each of the Adelaide Hills, Barossa Valley, Coonawarra, Eden Valley, Langhorne Creek, Padthaway and Wattonbully regions separately.

Given these submissions, please comment on the following:

- a. whether grapes grown in each of the 'warm climate' regions identified are substitutable for grapes grown in another
 - b. whether grapes grown in each of the 'cool climate' regions identified are substitutable for one another
 - c. whether 'cool climate' and 'warm climate' grapes are substitutable for one another, and
 - d. whether there are limitations as to how far wine grapes can travel from a vineyard to a processing facility.
6. Can grape growers easily switch and supply different acquirers/wine producers? Do ongoing contractual arrangements impact the ability to switch?
7. Please comment on the significance of the volumes of grapes or bulk wine acquired by Accolade and/or PRW? Please specify if your answer differs by the 'warm climate' and 'cool climate' regions identified above.
8. In your view, would the Proposed Acquisition be likely to lessen competition between purchasers of wine grapes?

Questions for winemakers

9. Under which circumstances would you typically source the following services from other parties such as Accolade or PRW:
- a. wine processing services, and/or
 - b. packaging and bottling services.
10. Apart from Accolade and PRW, are there other businesses that are able to provide each of the services listed above? Does this vary from region to region (for example, it is understood both parties own processing facilities in the Barossa Valley)?
11. What factors would you take into consideration when choosing a provider for each of the services listed in item 9? Please provide reasons for your answer.

12. In your view, would the Proposed Acquisition be likely to lessen competition in any potential market for the supply of either:

- a. wine processing services, or
- b. packaging and bottling services?

Questions for distributors and retailers of wine

13. Would you consider that there are any “must-stock” brands of wine for an alcohol retailer or distributor? Are suppliers with a broad portfolio of wine brands seen to be particularly important for alcohol retailers?

14. Would you consider the wholesale supply of wine to be segmented by either price point or product type? If so, please explain the relevant segments and in your view, who would be the most prominent suppliers in each of these segments?

15. Who do you consider to be Accolade and PRW’s closest competitors in the wholesale supply of wine?

16. What is the nature of the supply agreements in the wholesale supply of wine? For example, is there a typical term length, and are prices locked in at the start of the contract?

17. Do you think the Proposed Acquisition would be likely to lessen competition for the wholesale supply of wine?

Additional information

18. Please provide any additional information or comments that you consider relevant to the ACCC’s consideration of the Proposed Acquisition.